



Isle of Man

Ellan Vannin

AT 2 of 2024

SANCTIONS ACT 2024



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**Isle of Man***Ellan Vannin*

SANCTIONS ACT 2024

<i>Signed in Tynwald:</i>	<i>16 April 2024</i>
<i>Received Royal Assent:</i>	<i>16 April 2024</i>
<i>Announced to Tynwald:</i>	<i>16 April 2024</i>

AN ACT to provide for the implementation in the Island of United Kingdom sanctions provisions; to amend the Terrorism and Other Crime (Financial Restrictions) Act 2014 so as to align certain provisions more closely with equivalent provisions of United Kingdom law; and for connected purposes.

BE IT ENACTED by the King's Most Excellent Majesty, by and with the advice and consent of the Council and Keys in Tynwald assembled, and by the authority of the same, as follows: —

Introductory

1 Short title

The short title of this Act is the Sanctions Act 2024.

2 Commencement

- (1) This Act, apart from section 1 and this section, comes into operation on such day or days as the Treasury may by order appoint.¹
Tynwald procedure – laying only.
- (2) An order under subsection (1) may make such supplemental, incidental, consequential and transitional provisions as the Treasury considers to be necessary or expedient.

3 Interpretation

- (1) In this Act —
“**Guernsey**” means the Bailiwick of Guernsey;
“**Jersey**” means the Bailiwick of Jersey;

“**SAMLA**” means the Sanctions and Anti-Money Laundering Act 2018¹ of Parliament, as amended from time to time;

“**UK**” means the United Kingdom;

“**UK blocking provision**” means —

- (a) Council Regulation (EC) No 2271/96 of 22 November 1996 protecting against the effects of the extra-territorial application of legislation adopted by a third country, and actions based thereon or resulting therefrom², as that Regulation is given effect in the UK as retained EU law under the European Union (Withdrawal) Act 2018 of Parliament³;
- (b) Commission Implementing Regulation (EU) 2018/1101 of 3 August 2018 laying down the criteria for the application of the second paragraph of Article 5 of Council Regulation (EC) No 2271/96 protecting against the effects of the extra-territorial application of legislation adopted by a third country, and actions based thereon or resulting therefrom⁴, as that Regulation is given effect in the UK as retained EU law under the European Union (Withdrawal) Act 2018 of Parliament;
- (c) the Extraterritorial US Legislation (Sanctions against Cuba, Iran and Libya) (Protection of Trading Interests) Order 1996⁵ of Parliament;
- (d) any other UK legislation (whenever enacted) that the Treasury considers to serve a purpose similar to the instruments mentioned in paragraphs (a) to (c);

“**UK financial sanctions provision**” means, unless a UK sanctions provision otherwise provides, a UK sanctions provision that contains a prohibition or requirement imposed for a purpose mentioned in section 3(1) or (2) of SAMLA;

“**UK sanctions provision**” means a provision of UK legislation made by or under regulations made under Part 1 of SAMLA.

- (2) Unless the contrary intention appears, an expression used in regulations under this Act that implement a UK blocking provision or a UK sanctions provision is to be read, if that expression is not used in this Act but is used in the UK blocking provision or UK sanctions provision (as the case may be), as having the same meaning as in that provision.

¹ 2018 c.13

² OJ L 309, 29.11.1996, p. 1

³ 2018 c.16

⁴ OJ L 199I, 7.8.2018, p.7

⁵ SI 1996/3171, as amended from time to time.

- (3) The Treasury may by regulations amend, omit or add defined terms in subsection (1) where it considers it necessary or expedient to give better effect in the Island to a UK sanctions provision.
Tynwald procedure – affirmative.
- (4) Regulations under subsection (3) may modify, adapt or amend any provision of this Act to give effect to such a revision of defined terms.

Implementation of UK sanctions

4 Implementation of UK sanctions provisions

J2019/02/3 and drafting

- (1) The Treasury may by regulations make such provision as appears to it to be necessary or expedient for the purposes of –
 - (a) giving effect in Manx law, either wholly or partly, to a UK sanctions provision; or
 - (b) dealing with matters arising out of or related to such provision.Tynwald procedure – affirmative.
- (2) Without limiting subsection (1), regulations under that subsection may –
 - (a) make provision by reference to (or by incorporation (by reference, annexation or otherwise) of) a UK sanctions provision, or of any class or description of such provisions;
 - (b) when making the provision described in paragraph (a) –
 - (i) do so to such extent and subject to such exceptions, adaptations and modifications to the UK sanctions provision as may be specified in the regulations;
 - (ii) make adaptations or modifications mentioned in subparagraph (i) by providing that any one or more of the Island, Jersey or Guernsey are to be treated as if they formed part of the UK, for the purpose of the provision;
 - (iii) provide that a reference to the UK sanctions provision is to be read as a reference to that provision as amended from time to time by any other UK sanctions provision;
 - (iv) provide that a reference to the UK sanctions provision is to be read as a reference to that provision as it otherwise has effect in the UK from time to time by virtue of any judgment of a court in the UK;
 - (c) include any provision which may be made under section 5.
- (3) The provision that may be made by regulations under subsection (1) includes an amendment of any enactment other than this Act or the *Human Rights Act 2001*, but does not include provision –

- (a) imposing a penalty of custody for more than 10 years for a criminal offence;
- (b) imposing or increasing taxation; or
- (c) taking effect from a date earlier than that of the making of the regulations containing the provision.

5 Powers in relation to ships in Manx waters under UK sanctions provisions

J2019/02/7 and drafting

- (1) Subsection (2) applies if a UK sanctions provision confers, under UK legislation, a function falling within subsection (5) (the “relevant function”) on a person specified or otherwise described in that provision (the “specified person”) in relation to a ship.
- (2) The specified person may exercise the relevant function when the ship is in the territorial sea⁶, to enforce the UK sanctions provision.
- (3) Subsection (2) applies —
 - (a) regardless of any limitation under the UK legislation as to the sea in which the ship must be present for the relevant function to be exercised; and
 - (b) regardless of whether the UK sanctions provision is given effect by regulations under section 4(1).
- (4) The Treasury may, despite subsections (1) to (3) and without limiting section 4, by regulations —
 - (a) disapply or modify the effect of subsection (2) in relation to the UK sanctions provision;
 - (b) provide that any other person or description of persons may exercise the relevant function under subsection (2), in addition to the specified person;
 - (c) require the specified person, exercising the relevant function under subsection (2), to be accompanied by any other person or description of persons.

Tynwald procedure – affirmative.
- (5) A function falls within this subsection in relation to a ship if it is a power or duty to —
 - (a) stop or board the ship;
 - (b) search the ship or anything found on the ship;
 - (c) stop or search a person on the ship;
 - (d) seize goods found on such a search;

⁶ “Territorial sea” is defined in the Interpretation Act 2015 as meaning the territorial sea adjacent to the Island under section 1 of the *Territorial Sea (Consequential Provisions) Act 1991*.

- (e) require a person on the ship to provide information or produce documents;
 - (f) inspect or copy such information or documents;
 - (g) require the ship to be taken to a port or anchorage (whether in the Island or elsewhere); or
 - (h) use reasonable force in the exercise of a function falling within any of the preceding paragraphs.
- (6) If Part 1 of SAMLA is amended in the UK, the Treasury may by regulations amend this section to make such provision as the Treasury considers necessary or expedient in relation to the amendment to that Act.
- Tynwald procedure – approval required.

6 Implementation of UK blocking provisions

J2019/02/8 and drafting

The Treasury may by regulations make such provision as it considers to be necessary or expedient for the purposes of —

- (a) giving effect in Manx law, either wholly or partly, to a UK blocking provision; or
- (b) dealing with matters arising out of or related to a UK blocking provision.

Tynwald procedure – affirmative.

Civil penalties for breaches of financial sanctions provisions

7 Power to impose monetary penalties

P2017/3/146 and drafting

- (1) The Treasury may impose a monetary penalty on a person if it is satisfied, on the balance of probabilities, that the person has breached a prohibition, or failed to comply with an obligation, that is imposed by or under a UK financial sanctions provision that has effect in the Island.
- (2) In determining for the purposes of subsection (1) whether a person has breached a prohibition, or failed to comply with an obligation, imposed by or under a UK financial sanctions provision that has effect in the Island, any requirement imposed by or under that provision for the person to have known, suspected or believed any matter is to be ignored.
- (3) The amount of the penalty is to be such amount as the Treasury may determine but it may not exceed the permitted maximum.
- (4) In a case where the breach or failure relates to particular funds or economic resources and it is possible to estimate the value of the funds or economic resources, the permitted maximum is the greater of —
 - (a) £1,000,000; and

- (b) 50% of the estimated value of the funds or economic resources.
- (5) In any other case, the permitted maximum is £1,000,000.
- (6) In subsection (4), “funds” and “economic resources” have the same meanings as they have in SAMLA.
- (7) The Treasury may by regulations amend subsection (4)(a) or (5) so as to substitute another amount for the amount for the time being specified in it.
Tynwald procedure – approval required.
- (8) Any monetary penalty payable under this section is recoverable by the Treasury as a civil debt.
- (9) Any monetary penalty received by the Treasury by virtue of this section is to be paid into General Revenue.

8 Monetary penalties: procedural rights

P2017/3/147(1) to (5) and drafting

- (1) Before imposing a monetary penalty on a person under section 7, the Treasury must inform the person of its intention to do so.
- (2) The Treasury must also —
 - (a) explain the grounds for imposing the penalty;
 - (b) specify the amount of the penalty;
 - (c) explain that the person is entitled to make representations; and
 - (d) specify the period within which any such representations must be made.
- (3) If, having considered any representations, the Treasury decides to impose the penalty, the Treasury must —
 - (a) inform the person of its decision;
 - (b) explain that the person is entitled to appeal the decision; and
 - (c) specify the period within which an appeal may be brought.
- (4) A person may appeal against a decision of the Treasury under this section to a court of summary jurisdiction.
- (5) The appeal must be brought within the period of 30 days beginning with the date on which the person was informed of the Treasury’s decision to impose the penalty.
- (6) On appeal the court may —
 - (a) uphold the decision to impose the penalty and its amount;
 - (b) uphold the decision to impose the penalty but substitute a different amount; or
 - (c) set aside the decision to impose the penalty.

9 Monetary penalties: bodies (whether or not incorporated)

P2017/3/148 and drafting

- (1) If a monetary penalty is payable under section 7 by a body, the Treasury may also impose a monetary penalty on an officer of the body if it is satisfied, on the balance of probabilities, that the breach or failure in respect of which the monetary penalty is payable by the body —
 - (a) took place with the consent or connivance of the officer; or
 - (b) was attributable to any neglect on the part of the officer.

- (2) In subsection (1) —

“body” means a body corporate, a partnership or an unincorporated body other than a partnership;

“officer of a body” means —

- (a) in relation to a body corporate, a director, manager, secretary or other similar officer of the body or a person purporting to act in any such capacity;
 - (b) in relation to a partnership, a partner or a person purporting to act as a partner;
 - (c) in relation to an unincorporated body other than a partnership, a person who is concerned in the management or control of the body or purports to act in the capacity of a person so concerned.
- (3) Sections 7(3) to (6), (8) and (9) and 8 apply in relation to a monetary penalty that may be imposed under subsection (1) as they apply in relation to a monetary penalty that may be imposed under section 7(1).

10 Monetary penalties: supplementary

P2017/3/149

- (1) The Treasury must issue guidance as to —
 - (a) the circumstances in which it may consider it appropriate to impose a monetary penalty under section 7 or 9; and
 - (b) how it will determine the amount of the penalty.
- (2) The Treasury must, at such intervals as it considers appropriate, publish reports about the imposition of monetary penalties under section 7 or 9.
- (3) The Treasury may also publish reports at such intervals as it considers appropriate in cases where —
 - (a) a monetary penalty has not been imposed under section 7 or 9; but
 - (b) the Treasury is satisfied, on the balance of probabilities, that a person has breached a prohibition, or failed to comply with an obligation, that is imposed by or under a UK financial sanctions provision that has effect in the Island.

- (4) In this section “publish” means publish on a website or by such other means as the Treasury considers appropriate.

Miscellaneous

11 Regulations: additional provisions

- (1) Regulations under this Act may contain such supplemental, incidental, consequential, transitional or saving provisions as the Treasury considers to be necessary or expedient for the purposes of the regulations.
- (2) To avoid doubt, section 87(2) of the *Interpretation Act 2015* (additional powers implied by power to make public document) applies in relation to regulations under this Act.
- (3) In particular, regulations under section 4(1) may consequentially amend or repeal a provision of a statutory document which gives effect to a provision relating to sanctions made under the *European Union and Trade Act 2019*.

12 Right of appeal

- (1) A person aggrieved may appeal against a decision of the Treasury taken in the performance of, or in connection with, its functions under regulations under this Act.
- (2) The appeal lies to the High Court.
- (3) An appeal under subsection (1) must be made within 30 days beginning with the date on which the decision is made.
- (4) A decision which is the subject of an appeal remains in force until the disposal of the appeal, subject to subsection (5).
- (5) An appellant may apply for the decision which is the subject of an appeal to be stayed pending the appeal.
- (6) The High Court must decide the appeal, by reference to the grounds of appeal set out in the appeal notice, by applying the same principles as would be applied by a court in a dolence claim.
- (7) The High Court may —
 - (a) dismiss the appeal or quash the whole or part of the decision to which it relates; and
 - (b) where it quashes the whole or part of that decision, remit the matter back to the Treasury with a direction to reconsider and make a new decision in accordance with the ruling of the High Court.
- (8) Despite subsection (7), if the High Court considers that there is no purpose to be served in remitting the matter back to the Treasury, it may take the decision itself.

- (9) Unless rules of court have been made under section 25 of the *High Court Act 1991*, the court may adopt such practice and procedure as it thinks fit for the purposes of an appeal under this section.

13 Data protection

- (1) Nothing in this Act or in regulations under this Act authorises the processing of personal data in contravention of any provisions of data protection legislation.
- (2) In this section “personal data” and “data protection legislation” each has the meaning given in regulation 5(1) of the GDPR and LED Implementing Regulations 2018⁷.

14 Protection for acts done for purposes of compliance

P2018/13/44 and drafting

- (1) This section applies to an act done in the reasonable belief that the act is in compliance with regulations under this Act.
- (2) Subject to subsection (3), a person is not liable to any civil proceedings to which that person would, in the absence of this section, have been liable in respect of the act.
- (3) However, subsection (2) does not affect the operation of sections 7 to 10.
- (4) In this section “act” includes an omission.

15 Crown application

P2018/13/52 and drafting

- (1) Regulations under this Act may make provision binding the Crown.
- (2) The regulations may not provide for the Crown to be criminally liable.
- (3) Nothing in this Act affects His Majesty in His private capacity (within the meaning of the Crown Proceedings Act 1947⁸ of Parliament).
- (4) In this section “the Crown” has the same meaning as “the Sovereign” as that expression is construed under section 32 of the *Interpretation Act 2015*.

Amendments

16 Manx legislation amended

- (1) The *Terrorism and Other Crime (Financial Restrictions) Act 2014* is amended in accordance with the Schedule.

⁷ SD 2018/0145

⁸ 1947 c.44

- (2) [Substituted paragraph (b) of the definition of “assigned matter” in section 184(1) of the *Customs and Excise Management Act 1986*]

SCHEDULE

[Section 16]

**AMENDMENTS TO THE TERRORISM AND OTHER CRIME (FINANCIAL
RESTRICTIONS) ACT 2014****1 Amendment of section 3**

- (1) In subsection (1) —
 - (a) [Amended definition of “business in the regulated sector”]
 - (b) [Amended definition of “designated person”]
 - (c) [Amended definition of “designation”]
 - (d) [Repealed definition of “final designation”]
 - (e) [Amended definition of “financial services”]
 - (f) [Amended definition of “funds”]
 - (g) [Repealed definition of “interim designation”]
 - (h) [Inserted definition of “relevant firm”]
 - (i) [Substituted definition of “relevant institution”]
 - (j) [Amended definition of “relevant supervisory authority”]
- (2) [Substituted subsection (2)]
- (3) [Repealed subsection (3)]

2 Substitution of section 5A

[Substituted section 5A]

3 Insertion of new section 5B

[Inserted section 5B]

4 Amendment of section 6

[Inserted subsection (5)]

5 Amendment of section 9

- (1) [Amended subsection (3)]
- (2) [Repealed subsection (4)]

6 Amendment of section 10

[Substituted section 10]

7 Amendment of section 12

[Substituted subsection (3)]

8 Amendment of section 13

[Repealed subsection (6)]

9 Amendment of section 14

[Inserted subsection (5)]

10 Amendment of section 17

[Substituted section 17]

11 Amendment of section 18

(1) [Amended section heading]

(2) [Substituted subsections (1) and (2) and inserted subsections (2A), (2B) and (2C)]

(3) [Substituted subsection (4) and inserted subsection (5)]

12 Repeal of section 19

[Repealed section 19]

13 Repeal of sections 21 and 22

[Repealed sections 21 and 22]

14 Repeal of Division 3 of Part 2

[Repealed section 24 and the Division heading immediately preceding it]

15 Amendment of section 25

(1) [Inserted subsection (2A)]

(2) [Repealed subsection (6)]

16 Amendment of section 27

[Amended subsection (3)]

17 Amendment of section 28

[Amended subsection (1)]

18 Amendment of section 29

- (1) [Amended subsection (1)]
- (2) [Inserted subsection (1A)]
- (3) [Amended subsection (2)]
- (4) [Amended subsection (3)]
- (5) [Amended subsection (4)]
- (6) [Amended subsection (5)(a)]

19 Amendment of section 30

- (1) [Amended section heading]
- (2) [Amended section 30]
- (3) [Amended subsection (5)]

20 Amendment of section 31

[Substituted section 31]

21 Repeal of section 32

[Repealed section 32]

22 Amendment of section 33

[Amended subsection (6)(b)]

23 Amendment of section 35

- (1) [Amended subsection (2)(a)]
- (2) [In subsection (6) inserted definition of “data protection legislation”]

24 Amendment of section 36

[Substituted subsection (7)]

25 Amendment of section 38

[Inserted subsection (1A)]

26 Amendment of section 39

- (1) [Amended subsection (4)(a)]
- (2) [Amended subsection (4)(b)]

27 Amendment of section 40

(1) [Amended subsection (2)(a)]

(2) [Amended subsection (2)(b)]

28 Amendment of section 41

[Amended subsection (2)(b)]

29 Amendment of section 42

(1) [Amended subsection (2)(a)]

(2) [Amended subsection (2)(b)]

30 Amendment of section 44

[Inserted subsection (5)]

31 Amendment of section 45

[inserted subsection (4)]

32 Amendment of section 47

[Inserted subsection (4)]

33 Amendment of section 50

[Substituted section 50]

34 Amendment of section 51

[Repealed subsection (2)]

35 Amendment of section 52

[Substituted section 52]

36 Insertion of new section 52A

[Inserted section 52A]

37 Amendment of section 55

[Substituted section 55]

38 Amendment of section 57

(1) [Repealed subsection (1)(a)]

- (2) [Amended subsection (3)]
- (3) [Amended subsection (4)]
- (4) [Amended subsection (8)]
- (5) [Repealed subsections (10) and (11)]

39 Amendment of section 58

[Amended subsection (1)]

40 Amendment of section 63

[Substituted section 63]

41 Amendment of section 68

- (1) [Amended subsection (1)]
- (2) [Amended subsection (2)(d)(ii)]
- (3) [Amended subsection (5)]

42 Repeal of section 69

[Repealed section 69]

43 Amendment of section 69A

- (1) [Amended subsection (1)]
- (2) [Repealed subsections (5) and (6)]

44 Insertion of Schedule A1

[Inserted Schedule A1]

ENDNOTES

Table of Endnote References

¹ ADO – remainder of Act, except section, 5 in operation 01/05/2024 [SD2024/0117].

